

Law of Equity and Trusts (EQT1)

Module 5: Trusteeship and Duties of Trustees

Lesson 2: Duties of Trustees

Lesson Notes

KMVTECHUG

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Duty of Care

Trustees must exercise the care and skill of a prudent person managing their own affairs. Professional trustees may be held to a higher standard. The duty applies to investment, choice of agents, safeguarding property and exercise of powers.

Fiduciary Duties

Trustees must act with loyalty in the best interests of the beneficiaries. The no-conflict and no-profit rules are strictly applied (*Keech v Sandford*). Unauthorised profits must be accounted for even if the trustee acted honestly.

Invest, Accounts and Information

Trustees must invest the fund productively within authorised ranges, keep clear accounts, and provide beneficiaries with information reasonably required to protect their interests.

Key idea: Duties are cumulative: care, loyalty, investment, accounting and information.

Key Takeaways

- Prudent person standard; higher for professionals.
- No conflict and no unauthorised profit.
- Duty to invest, keep accounts and inform beneficiaries.
- Breach of duty can lead to personal liability.

Quick Revision Checklist

- ☐ I can state the standard of care.
- ☐ I can explain the no-profit rule with Keech v Sanford.
- ☐ I know failure to keep accounts is itself a breach.
- ☐ I can list the core duties of trustees.